

Phase 1: The Audit

First, we simulate the data collection process by consolidating the client's insurance portfolio into a single, structured dataset. This captures all relevant policies, the assets they cover, and most importantly, the specific exclusions that represent behavioral risks.

You can download the simulated dataset here: [client_insurance_portfolio.csv](#)

Phase 2: The Risk Matrix Analysis

Next, the raw data is processed into a **Risk Matrix**. This model identifies and quantifies the "Value at Risk" associated with specific behaviors that could void insurance coverage. The matrix is sorted to prioritize the most significant financial exposures, allowing the consultation to focus on what matters most.

Here is the generated Risk Matrix for our client:

Asset Covered	Value at Risk (\$)	Associated Risk Behavior	Key Exclusion	Policy Type
General Liability	10,000,000	Son using personal assets for a startup business	Acts involving intentional harm or business activities	Umbrella Liability
Primary Residence	5,000,000	Failing to secure separate flood insurance	Flood Damage	Homeowners
Art Collection	2,000,000	Allowing a friend to help move valuable art	Damage during transport by non-professional movers	Personal Articles
Vacation Cabin	1,500,000	Listing the property on short-term rental sites	Damage from unapproved rentals	Homeowners
Classic Car	250,000	Using the car for regular commuting	Not driven more than 2,500 miles/year	Auto
Luxury Sedan	150,000	Participating in amateur track days	Use on a racetrack	Auto
Ski Boat	120,000	Using the boat for nighttime waterskiing	Operation between sunset and sunrise	Watercraft

This visualization clearly shows the financial scale of these behavioral risks, making the abstract concept of "risk" tangible for the client.

Phase 3: The Family Charter Workshop

Finally, the insights from the Risk Matrix are translated into a simple, clear **Family Charter** or **Behavioral Bylaws**. This document serves as the primary deliverable for the client, converting complex insurance jargon into actionable family rules designed to protect their legacy.

Draft: The 'Jim' Family Behavioral Bylaws

This document translates our insurance coverage into actionable family principles to protect our assets and legacy. The following behaviors are identified as high-risk due to specific insurance exclusions:

- **Asset:** Primary Residence (\$5,000,000)
 - **Uninsured Behavior:** Failing to secure separate flood insurance.
 - **Bylaw:** The Primary Residence is not to be used in a manner that triggers the 'Flood Damage' clause, as this would void insurance coverage.
- **Asset:** Art Collection (\$2,000,000)
 - **Uninsured Behavior:** Allowing a friend to help move valuable art.
 - **Bylaw:** The Art Collection is not to be used in a manner that triggers the 'Damage during transport by non-professional movers' clause, as this would void insurance coverage.
- **Asset:** Vacation Cabin (\$1,500,000)
 - **Uninsured Behavior:** Listing the property on short-term rental sites.
 - **Bylaw:** The Vacation Cabin is not to be used in a manner that triggers the 'Damage from unapproved rentals' clause, as this would void insurance coverage.
- **Asset:** Classic Car (\$250,000)
 - **Uninsured Behavior:** Using the car for regular commuting.
 - **Bylaw:** The Classic Car is not to be used in a manner that triggers the 'Not driven more than 2,500 miles/year' clause, as this would void insurance coverage.
- **Asset:** Luxury Sedan (\$150,000)
 - **Uninsured Behavior:** Participating in amateur track days.
 - **Bylaw:** The Luxury Sedan is not to be used in a manner that triggers the 'Use on a racetrack' clause, as this would void insurance coverage.
- **Asset:** Ski Boat (\$120,000)
 - **Uninsured Behavior:** Using the boat for nighttime waterskiing.
 - **Bylaw:** The Ski Boat is not to be used in a manner that triggers the 'Operation between sunset and sunrise' clause, as this would void insurance coverage.